8.3.3 Re-importation of compensating products

Goods in the form of compensating products re-imported after outward processing have the Customs Duty and VAT calculated on the cost of the processing operations carried out in a third country.

8.3.4 Treatment abroad

Exported goods may have received treatment abroad in the circumstances outlined below and still qualify for returned goods relief on re-importation:

- Where the goods have received treatment necessary to maintain them in good condition or handling which altered their appearance only or
- Where goods have received treatment or handling (other than (i) above), but which proved to be defective or unsuitable for their intended use, provided that:
  - such treatment or handling was applied to the goods solely with a view to repairing them or restoring them to good condition and/or
  - their unsuitability for their intended use became apparent only after such treatment or handling had commenced.

Where the value is increased by the treatment/handling outlined in (ii) above, outward processing provisions apply in determining the Customs Duty payable. However, if it is shown that such treatment became necessary due to unforeseen circumstances abroad, relief may be allowed provided the treatment did not exceed that necessary to enable the goods to continue to be used in the same way as at the time of export even if it resulted in an increase in value (Article 158 DA).

8.3.5 Documentary evidence on re-importation

The importer/agent must normally present the MRN of the export declaration, information sheet INF 3 (see below) or an ATA Carnet issued in the Union, which identifies the goods. Goods may be released with relief being allowed if the period of validity of the carnet has expired provided that they are being re-imported within three years. Where other satisfactory evidence is available that the goods were originally exported from the Union the MRN or the INF 3 is not required.